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CUTTING DOWN ON WASTEFUL EXPENDITURE AND 'IMPLICIT SUBSIDIES' WILL BE THE KEY CHALLENGE FOR KARNATAKA TO MAINTAIN FISCAL DISCIPLINE

next month, the five schemes will cost Rs 59,000 crore annually. That's nearly double the outgo on subsidies that Karnataka bears currently, thereby making it a financial tightrope for the new government. Karnataka is one of India's richest states with per capita income of Rs 3.01 lakh. Experts reckon the state's financial parameters, especially on the revenue side, offer some cushion. For instance, while Karnataka has consistently maintained a revenue surplus since 2004 except for two years during the pandemic, its estimated debt-to-gross state domestic product (GSDP) ratio at 24.2 per cent is among the lowest in the south. "It is also doing better in terms of nominal growth. So they certainly have space for some kind of social support mechanism," says Dr N.R. Bhanumurthy, vice-chancellor, Dr B.R. Ambedkar School of Economics University in Bengaluru. But the new schemes will exert pressure on the fisc, thereby necessitating a rework of expenditures, he points out. "They need to take a complete re-look at the whole expenditure plan," he says.

Cutting down on wasteful expenditure and implicit subsidies—where costs for providing services are not being recovered—will be the key challenge. The Karnataka Economic Survey 2022-23 points to a surfeit of government schemes—1,856 in all, with a total fund allocation of Rs 2.26 lakh crore. Since most schemes lack sunset clauses, they continue to exist even after achieving objectives, it noted. Besides the administrative costs to run the schemes, increase in budget outlays each year adds to the financial burden. "There is a need to quickly rationalise all these schemes," says Bhanumurthy.

Stepping into his second term as CM, Siddaramaiah lost no time in getting down to the primary task—outlining the contours of the five schemes. In that, he was following the template he had set for himself a decade ago. In 2013, Siddaramaiah had similarly announced five welfare schemes within hours of taking charge as CM. This time around, the preparations involved a lot more number-crunching before the modalities were worked out, thereby giving room to the opposition to attack the new government. Since June 2, when the CM announced the schemes, both the BJP and Janata Dal (Secular) have accused it of imposing conditions that were not specified while making the poll promises.

His predecessor, Basavaraj Bommai of the BJP, observed that Siddaramaiah had not specified how the government will fund its big-ticket programmes. In a letter, Bommai urged the new CM to refrain from rolling back the welfare schemes initiated during the BJP